INSTITUTIONAL EQUITY RESEARCH • POST-EARNINGS RE-UNDERWRITE

Amazon.com (AMZN)
Q3 2026 Earnings & Thesis Update

Published: October 29, 2026 • Reporting period ended September 30 • After-hours market data captured near 5:49 p.m. EDT. Prepared against the October 16 prior underwriting.

Research view: HOLD / ADD only at disciplined gates

Analyst conviction: 7 / 10

Source status: earnings release verified; call Q&A not independently transcribed

EXECUTIVE DECISION VIEW

Demand conviction increases; free-cash-flow conviction decreases

Q3 REVENUE	AWS	OPERATING MARGIN	TTM FCF
$201.9B	**+39.3%**	**13.9%**	**−$42.4B**
+12% YoY, small miss	$46.0B revenue	Record; +420 bps YoY	vs +$14.8B year-ago

Investment conclusion. Amazon's economic engine is demonstrably strengthening: AWS grew 39%, North America operating profit rose 82%, and consolidated operating profit grew 61%. The price of that growth is now a **$220B cash-capex plan**, negative trailing FCF, and $173B long-term debt. Maintaining a high-quality core position is easier to justify than adding aggressively immediately following the release. Research **HOLD / staged ADD review** at 7/10 confidence, subject to Portfolio CIO authority. [IR]

What would change our mind? For a constructive upgrade, evidence that 40%+ AWS growth converts into operating cash flow after depreciation and financing; for a downgrade, persistent cash burn, capacity underutilization or a decline in AWS growth while capex keeps escalating.

01 / What has changed since the October 16 underwriting?

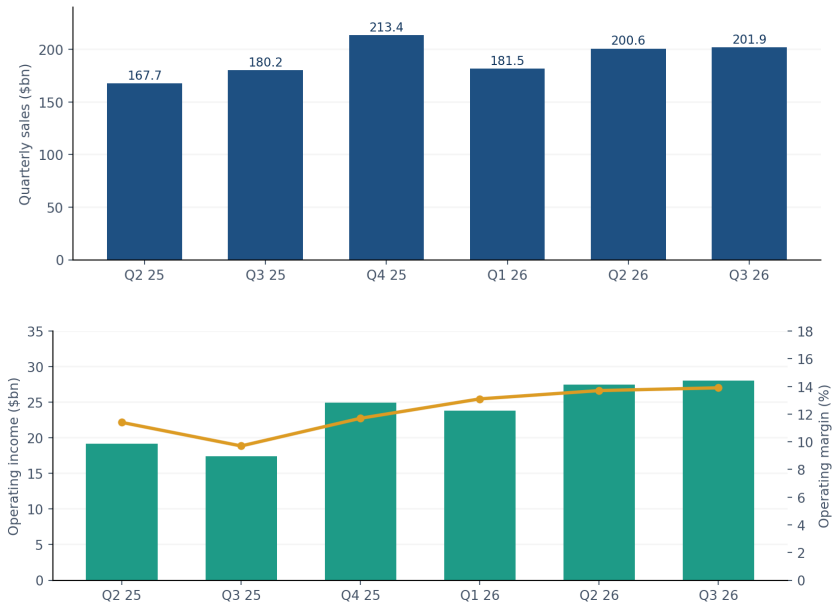
Underwriting variable	Prior baseline	Post-print evidence	Research implication
AWS demand	Q2 +37% YoY	Q3 +39.3%; ~$184B annualized run rate; management expects 40%+ growth 2027 and 2028.	Upward revision to demand durability, but management's multi-year forecast is not contractual guidance.
AWS profitability	Q2 $16.6B, 39.4% margin	Q3 $17.8B, 38.7% margin	Absolute profit higher; margin down 70bps sequentially as capacity ramps.
FCF	Q2 TTM −$7.6B	Q3 TTM −$42.4B; $210.7B trailing net PP&E purchases	Material negative change, not explained away by GAAP profit.
Retail	Q2 N.A. margin 7.9%	Q3 N.A. margin 7.7%; sales only +6% with Prime Day timing shift	Operational leverage intact; quarterly retail growth not cleanly comparable.
Financial leverage	June long-term debt ~$133B per prior thesis	September long-term debt $173.1B	Funding assumptions and lease-adjusted returns require closer scrutiny.
Valuation	Prior scenario base ~$282, reference $250	Updated capex-sensitive illustrative DCF base **$238** per share	Prior multiple-derived base not directly comparable with new cash-based DCF; a higher return hurdle is warranted.

All prior values refer to the registered October 16 AMZN thesis; current figures from the October 29 release. [IR]

02 / Q3 2026 print: high-quality operating beat, imperfect headline EPS

Metric	Q3 2025	Q3 2026	Interpretation
Total sales	$180.2B	$201.9B	+12% reported; approximately +16% excluding Prime Day shift, per company.
Operating income	$17.4B	$28.1B	+61%; highest reported company operating margin (13.9%).
AWS revenue	$33.0B	$46.0B	+39%, ahead of ~$45.7B published expectation.
AWS operating income	$11.4B	$17.8B	+55%; margin 38.7% versus 34.6% year earlier.
North America operating income	$4.8B	$8.7B	+82%; North America segment margin 7.7%.
International operating income	$1.2B	$1.6B	+32%; margin 3.7%.
GAAP diluted EPS	$1.95	$1.89	Down despite stronger EBIT, owing principally to prior-year investment marks.
Advertising services	$17.7B	$19.6B	+11% reported, +12% FX-neutral; timing impact and Q4 high-teens rebound expectation.

Reported company results [IR]; consensus for Q3 ~$202.2–$202.3B and $1.97 EPS varies by vendor (Bloomberg / FactSet), and AWS forecast ~$45.68B. [CONS]



EPS-quality bridge: the market should prioritize operating income

Q3 2026 GAAP EPS was $1.89 against $1.95 a year earlier, but Q3 2025 contained **$9.5B in pretax Anthropic investment gains**. Current quarter non-operating income (expense) was a net **−$1.2B**, versus **+$10.7B** a year earlier. The difference is approximately $12B pretax and overwhelms the $10.7B year-over-year growth in operating profit. The apparent EPS contraction **is not evidence of deteriorating core operations**. A fully tax-normalized quarterly EPS bridge is not defensible without item-by-item tax treatment. 2026 YTD net income also includes unusual investment effects, so trailing P/E is a poor standalone valuation anchor. [IR]

Fourth-quarter guidance versus consensus

Q4 2026	Company guide	Midpoint	Street pre-print comparison	Assessment
Net sales	$240–247B	$243.5B	~$244.5B	~$1B below expectations at midpoint, though inside range.
Operating income	$28.5–33.5B	$31.0B	~$33.0B	~$2B or 6% midpoint gap; key near-term disappointment.
FY26 cash capex	~$220B	—	—	Reaffirmed; not reduced despite FCF deterioration.

Company guides [IR]; pre-print Q4 consensus cited in live market reporting [CONS]. These are vendor snapshots, not audited consensus series.

03 / Capital allocation, funding and the FCF problem

TTM OPERATING CASH	TTM NET PP&E SPEND	LIQUIDITY	LONG-TERM DEBT
$168.3B	**$210.7B**	**$114.2B**	**$173.1B**
+29% year-over-year	+82% year-over-year	Cash + marketable securities	versus $65.6B at Dec 2025

Uncomfortable fact: Amazon's operating cash generation is rising, but its capital program has outrun it. Company-defined trailing FCF was **−$42.36B**, worsening from −$7.60B one quarter earlier. The cash outflow is growth investment, not the same as operating losses, but it still consumes funding and is sensitive to demand forecasts, financing costs and future depreciation. [IR]

> **Funding discipline checkpoint.** Balance-sheet cash and marketable securities were ~$114.2B and long-term debt ~$173.1B at September 30. Simple net debt for our model is ~$58.9B; it **excludes $98.8B long-term lease liabilities and other obligations**. We do not present this simplified bridge as comprehensive net leverage. The increase in gross debt and investment-related assets warrants separate work on financing terms and the accounting treatment of investment marks. [IR]

Cash capital expenditures expected at ~$220B during 2026 are an extraordinary burden even for Amazon's scale. A sustainable return case requires more than bookings: deployable megawatts, actual paid utilization, pricing, operating margin after depreciation, renewals, and a credible future reduction in capex as a share of revenue.

04 / Earnings call: evidence obtained and what remains unverified

The company's conference call was scheduled for **5:00 p.m. EDT on October 29**. The official release plus contemporaneous live coverage provide several high-signal management comments. At this report cutoff, a **complete, independently verified transcript and analyst-by-analyst Q&A were not available**; accordingly, there is no invented dialogue or attribution of unverified questions. [IR]

AWS visibility

Jassy projected AWS revenue growth exceeding 40% in both 2027 and 2028 and described gigawatts of reserved capacity. **Interpretation:** strong forward demand visibility, but bookings are not realized cash returns. [JASSY]

Cloud backlog

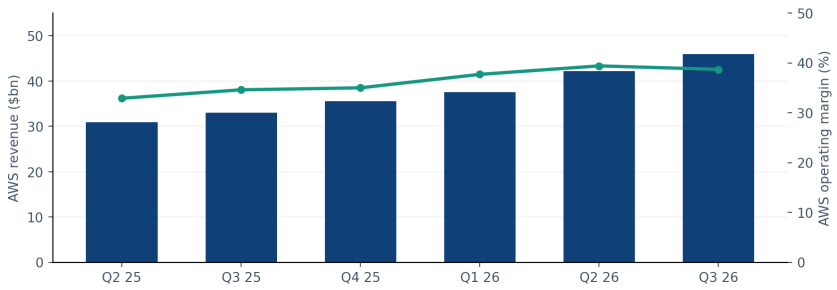
Live coverage attributed a **$578B AWS backlog** and triple-digit annual backlog growth to management. **Verification caveat:** secondary call report, not yet independently reconciled to a company transcript or filing. [CALL]

AI workloads

Company stated Fortune 500 Bedrock spending nearly **7×** YoY and token volume nearly **17×** YoY. Growth at this scale supports adoption, but neither metric is a direct proxy for AWS net profit. [IR]

Debate map and follow-up questions for management

Question to validate in full call transcript	Positive reading	Contrary reading / falsifier
How much of AWS growth is AI versus legacy migration, and how firm are capacity commitments?	Mix improves utilization and backlog conversion.	Demand rescheduling or weaker contracted yield per MW.
When does capex begin to grow more slowly than operating cash flow?	2028–30 FCF ramps as current assets enter service.	2027/28 capex further rises without improving net returns.
How quickly will depreciation and financing costs catch up with AWS revenue?	Operating margins hold near upper 30%s.	AWS margin trends persistently below 30% while demand slows.
Does advertising recover to high-teens growth in Q4?	Timing issue, not structural weakness.	Ad monetization slows alongside retail GMV.



AWS time series and Bedrock usage claims from company release [IR]. Call color is secondary reporting; the full transcript and any identified questioners/answering executives must be checked when released.

05 / Valuation: explicit cash-flow DCF and reverse DCF

Reference price: $243.79 October 29 regular-session close, before the earnings announcement; a market-data snapshot showed ~$230.31 at 5:49 p.m. ET after-hours, an **indicative, non-final** quote. Prices and forward estimates may move materially after the call. [STOCK] [FORECAST]

Multiples cross-check: third-party pre-print FY2027 EPS forecast of **$10.45** implies ~**23.3×** at the regular close, or ~**22.0×** at the after-hours snapshot. No robust post-print consensus reset is available yet. TTM GAAP EPS includes Anthropic-related fair-value volatility; **PEG is not reliable** with unstable earnings normalization and multi-year investment lag. Conventional P/FCF is not meaningful while FCF is negative. [FORECAST]

Five-year illustrative DCF ($ billions unless per-share)

Case / assumptions	2027 FCF	2028	2029	2030	2031	WACC	Term. g	Equity / share
Bear	-40	+0	+40	+85	+140	10.0%	3.0%	**$123**
Base	-20	+20	+65	+120	+185	8.7%	3.5%	**$238**
Bull	-5	+40	+95	+150	+225	8.2%	3.5%	**$331**

Analyst-constructed scenarios, not management guidance or consensus. Cash FCF proxy to enterprise cash flows is an approximation; 2027–31 explicitly model capex conversion. Discounted end-2031 continuing value accounts for roughly 90% of DCF enterprise value, making these estimates highly sensitive to terminal assumptions. Fully reconciled FCFF/WACC and lease-adjusted EV are not available.

BEAR • $123

-49%

Capex overload, slower FCF inflection, higher cost of capital.

BASE • $238

-2%

Strong AWS, but late conversion to owner cash flows.

BULL • $331

+36%

Rapid AI asset utilization and cash conversion.

Reverse DCF: what today's stock price requires

Keeping the base-case 2027–30 FCF path (**−$20B, +$20B, +$65B, +$120B**), 8.7% discount rate and 3.5% terminal growth, the **$243.79** regular-session price requires approximately **$190B of 2031 annual FCF**, versus our $185B base-case assumption. This is roughly **2.6%** above our terminal-year base forecast. The after-hours mark implies a lower hurdle; both depend on the same strong terminal assumptions.

DCF mechanics and important limitations

Enterprise value = Σ(FY2027–31 free cash flows / (1+WACC)^t) + [FY2031 FCF × (1+terminal growth) / (WACC−terminal growth)] / (1+WACC)^5. Equity value subtracts approximately **$58.9B** net debt (reported long-term debt less cash and marketable securities) and divides by **11.034B** shares including stock-based awards outstanding. The FCF series uses **cash-from-operations less net PP&E spend** as a pragmatic firm-level cash proxy, with no explicit reconciliation of interest, leases, working capital or debt maturity schedule. Valuation confidence: **low to moderate**, intentionally shown as a broad range rather than a precise target. Market cap/EV multiples to peers are not directly comparable without updated consensus metrics and investment-adjusted cash flows.

06 / Portfolio fit & add gates

Company quality • 9 / 10

AWS, marketplaces, logistics, advertising and subscriptions offer unusually broad demand and monetization channels. Scale and recurring customer relationships remain exceptional.

Valuation attractiveness • 5.5 / 10

Less attractive on a cash-flow basis than implied by prior forward-EPS estimates. Valuation depends on returns from an unusually capital-intensive AI buildout.

Portfolio fit • 6 / 10 (provisional)

Concentrated exposure to cloud/AI and mega-cap technology. Incremental position sizing should be reviewed across AMZN/MSFT/GOOG, semiconductor holdings and embedded fund exposure.

Research stance • 7 / 10 conviction

Core HOLD, with a conditional staged ADD framework. This is research judgment only, **not a change to CIO-controlled thesis status or a trade authorization**.

Source reconciliation: the GitHub canonical manifest identifies **retirement-portfolio-63.xlsx**, and its attached bytes matched the recorded SHA-256. That export shows **520 AMZN shares / 7.497% of portfolio**. Your more recent attached export **retirement-portfolio-65.xlsx** also shows **520 shares / 7.506%**, but the

manifest has not yet been updated to designate it. Therefore 7.506% is **provisional**, not an authoritative current weight. Both exports show a $7,935.20 total AMZN cost basis; do not treat workbook values as live post-earnings marks.

Conditional addition/discipline framework

Gate	Illustrative framework	Reason
Hold core	Maintain risk budget pending verified call transcript and 2027 cash-capex information.	High company quality; 7.5% direct concentration already material.
Price-only review	Near/below **$220** only if AWS economics remain intact and capex is financeable.	Offers modest margin below ~$238 base DCF, but is not a strong standalone margin of safety.
Higher-conviction add	Sub-**$200** with unchanged 40% AWS growth outlook, stable segment margin and credible FCF improvement.	Stronger risk/reward relative to modeled cash-flow base; still subject to portfolio concentration.
Fundamental add, any price	Require evidence 2027–28 FCF estimate revisions are turning positive and 2030/31 FCF is tracking at or above base assumptions.	Proof of returns may justify revisiting value and position size.
Risk review	AWS growth below 25% with margin below 30%, or a material further deterioration in financing/FCF plan.	Breaks central economics even if near-term headline EPS is strong.

These are analyst-derived assessment gates, not limit orders or automatic transaction recommendations.

07 / Catalysts, falsifiers, sector read-through and open questions

Next checkpoints

- **Q4 2026 results (date not yet verified):** sales vs $240–247B, operating income vs $28.5–33.5B, and high-teens advertising-growth expectation.
- **2027 management capital plan:** cash capex run rate, data-center delivery, leases/debt funding and depreciation trajectory.
- **AWS conversion:** backlog growth and realization, reserve-to-revenue lag, actual AI inference monetization and 2027–28 >40% management growth claim.
- **Each quarter:** paid unit growth and 3P seller mix; retail margins; gross/lease-adjusted leverage; TTM FCF trend.

Explicit thesis-break conditions

- AWS below 20% growth for two consecutive quarters while cloud market growth is substantially faster and share loss is verified.
- AWS margin below 25% in two quarters without credible ramp/depreciation explanation.
- FCF materially negative through FY2027 with no financeable normalization path or materially underutilized AI infrastructure.
- Financing costs or dilution undermine the economics of growth; worsening leverage at unchanged cash generation.
- Retail margin below 4% alongside sustained ad/merchant monetization erosion.

Cross-sector implications

Cloud competitors (MSFT, GOOGL): AWS acceleration and a large reported backlog suggest the AI infrastructure demand pool is still expanding, but this does not independently prove share wins. **Chip/foundry (NVDA, AVGO, TSM, ASML):** Amazon's huge infrastructure budget is a supportive demand signal, tempered by possible custom silicon substitution and eventual capex digestion. **Power, equipment and data-center infrastructure:** capacity reservations and energy supply constraints make power delivery and grid infrastructure critical to realized cloud revenue. These are interpretations of Amazon's disclosed spending and demand, not measured revenue forecasts for individual peers.

Outstanding diligence questions

- Full October 29 call transcript with named analyst questions, executive responses, and any capex nuance that changes $220B expectations.
- Reported $578B backlog: accounting definition, cancellation terms, geographic commitments, deployment schedule, and cash-yield evidence.
- Why balance-sheet investment assets and other liabilities increased sharply, and normalized EPS after fair-value changes.
- Independent post-print FY2027 and FY2028 estimates; model should be refreshed after sell-side revisions stabilize.
- Detailed 2027–31 cash-capex / operating-cash / depreciation / lease-adjusted FCFF bridge, rather than the proxy DCF above.

08 / Source ledger & methodology

Evidence is separated into **official reported facts** (Amazon release); **management comments** (official release or third-party contemporaneous call coverage); **market data and consensus snapshots** (secondary); and **research assumptions** (DCF, gates and judgment). Release-based figures are unaudited unless otherwise stated. The official Q3 10-Q and complete call transcript were not independently retrieved at the time of preparation.

Evidence	Source	Status / scope
Q3 2026 results, segment trends, guidance, cash flow, balance sheet	Amazon Investor Relations — October 29 release	Primary official release; verified
After-hours quote and FY27 EPS snapshot	StockAnalysis quote / Forecast	Secondary market data; time-sensitive
Revenue/EPS consensus and operating income bar	Yahoo Finance live earnings reporting	Secondary pre-print estimates; source-dependent
AWS backlog and Jassy remarks	MarketWatch live call notes / AWS growth remarks	Secondary call excerpts; transcript verification pending
Analyst scenarios and reverse DCF	Calculation in this report	Not company guidance or street consensus
Portfolio baseline	Local uploads: retirement-portfolio-63.xlsx (SHA verified), -65.xlsx (newer, manifest not reconciled)	63 canonical in manifest; 65 provisional

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